

Japan Daily Brief

Friday, October 2, 2026

1,879 words · 8 min read

RE: BOJ hike signals multiply · PM Takaichi disavows reflation · NMESIS Yonaguni · DPRK overflight · residency fee surge

NIKKEI 225

68,309.46

▲ +3.69%

USD/JPY

157.71

▲ +0.16%

BRENT

\$99.89

▼ -5.12%

BOJ RATE

1.25%

• TOP STORIES

ECONOMY-BOJ

Japan's Takaichi disavows reflation as US pushes for policy change

PM Takaichi has publicly disavowed Japan's long-running reflation strategy, with Finance Minister **Satsuki Katayama** separately declaring that the government is unified in its view that reflation is over; BOJ meeting minutes released today show board members debated accelerating rate hikes to address accommodative conditions and contain an inflation overshoot. US Treasury Secretary Scott Bessent has separately urged the BOJ to raise rates to support an appropriate yen level, per Japan Times.

NIKKEI ASIA

DEFENSE

US May Put Missile System on Japan Island Near Taiwan in Drills

The US military is considering deploying the Navy Marine Expeditionary Ship Interdiction System (NMESIS) to Japan's westernmost island of Yonaguni — located approximately 110 kilometers from Taiwan — during exercises, per Bloomberg. Chinese state media (Global Times) reported the development and warned of greater security risk should Tokyo intervene in a Taiwan contingency, while framing the deployment as escalatory.

BLOOMBERG

DPRK

North Korea fires ballistic missile over Japan

North Korea fired a ballistic missile that flew over Japan, triggering J-Alert warnings, per Eye Radio citing wire reports. The launch follows Pyongyang's declaratory campaign framing Japan's defense buildup as preparation for war and continues a pattern of missile activity timed to regional diplomatic events.

EYERADIO.ORG

INDO-PACIFIC

Japan, Qatar vow close coordination for early Middle East de-escalation

Prime Minister **Sanae Takaichi** and Qatari Prime Minister and Foreign Affairs Minister Sheikh Mohammed bin Abdulrahman Al-Thani agreed Friday in Tokyo to closely coordinate for early de-escalation in the Middle East,

including the ongoing US-Iran conflict, per Mainichi/Kyodo. The bilateral builds on Tokyo's diplomatic activity following PM Takaichi's UNGA engagements last week.

MAINICHI

ENERGY

TEPCO begins inserting robot arm to retrieve Fukushima nuke fuel debris

Tokyo Electric Power Co. began Friday inserting a remote-controlled robotic arm into the containment vessel of Fukushima Daiichi Unit 2 to begin retrieval of fuel debris — an operation that had been delayed four times previously, per Mainichi/Kyodo. The milestone marks a new phase in the decades-long Fukushima decommissioning effort.

MAINICHI

• STAT OF THE DAY

2,000%

Japan's hike in foreign permanent residency application fees

The Takaichi government raised permanent residency fees by roughly 2,000 percent, drawing criticism from labor economists who say Japan cannot afford to deter workers amid chronic shortages.

Japan Raises Residency Fees 2,000 Percent Amid 'Anxiety' Over Foreigners — NYT

• JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · FRIDAY, OCTOBER 2, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi met with Qatari PM Sheikh Mohammed bin Abdulrahman Al-Thani in Tokyo, agreeing on close coordination for Middle East de-escalation, and separately made a public statement warning retailers against absorbing food tax cuts without passing savings to consumers.

財務省 · MINISTRY OF FINANCE · *Satsuki Katayama, Finance Minister*

Finance Minister Katayama declares government consensus that reflation era is over

Katayama told Nikkei Asia that the cabinet is united in the view that Japan's decades-long reflation policy has ended, aligning fiscal posture with the BOJ's emerging hawkish tilt. The statement removes any ambiguity about political resistance to further BOJ rate hikes.

→ [Nikkei Asia](#) ↗

経済産業省 · MINISTRY OF ECONOMY, TRADE AND INDUSTRY · *Economy Minister (identified in source as Minister Kiuchi)*

Economy minister states Japan no longer needs excessively loose monetary policy as deflation era ends

The economy minister said Japan has exited the deflation era and therefore does not need excessively loose monetary policy, echoing Finance Minister Katayama's framing and reinforcing cabinet alignment with BOJ normalization.

→ Reuters ↗

外務省 · MINISTRY OF FOREIGN AFFAIRS · *Toshimitsu Motegi, Foreign Minister*

Foreign Minister Motegi delivers video message at FPCJ 50th anniversary journalists' conference

Foreign Minister Motegi addressed the 2026 International Journalists' Conference commemorating the Foreign Press Center Japan's 50th anniversary, stating the world is undergoing 'profound structural changes.'

→ MOFA ↗

内閣府 · PRIME MINISTER'S OFFICE / CABINET · *Minoru Kihara, Chief Cabinet Secretary*

Chief Cabinet Secretary: Japan 'takes note' of Putin's positive remarks on bilateral ties

Chief Cabinet Secretary **Minoru Kihara** stated the government has taken note of Russian President Putin's recent positive remarks regarding Japan-Russia ties, while stopping short of any reciprocal signal given ongoing sanctions over Ukraine.

→ Mainichi ↗

DIET SESSIONS / LDP

LDP / CABINET

Agriculture Minister Kazuo Yana acknowledges budget cut remarks amid Diet scrutiny

Agriculture Minister Kazuo Yana broadly acknowledged having made remarks about budget cuts but denied having directly lobbied the Land Ministry, per Asahi Shimbun, drawing scrutiny ahead of the Diet session opening.

OKAYAMA PREFECTURAL ASSEMBLY

Okayama prefectural assembly passes resolution calling for SDF's constitutional enshrinement

The Okayama prefectural assembly passed a resolution calling for the Self-Defense Forces to be explicitly named in the constitution, with three factions opposing; the vote adds to pressure from regional legislatures on constitutional revision ahead of the Diet session.

● PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
Asahi · Sep 28, 2026	51%	33%
ANN · Sep 23, 2026	58.3%	27.6%
Kyodo · Sep 23, 2026	53.4%	30.9%
Nikkei · Sep 5, 2026 · 27d ago	62%	33%
Yomiuri · Sep 19, 2026	59%	30%
FNN · Sep 15, 2026	61.6%	32.2%

NHK · Sep 10, 2026 · **22d ago**

52.8%

30.8%

JNN · Sep 7, 2026 · **25d ago**

62.5%

34.9%

Discourse: Agriculture Minister Kazuo Yana acknowledged budget-cut remarks in Diet questioning ahead of Monday's extraordinary session opening, raising the prospect of early ministerial controversy for the Takaichi cabinet.

Poll tracker: **Observing Japan approval-rating aggregator** →

• BUSINESS & ECONOMY

MACRO · THE JAPAN TIMES

Tokyo core CPI jumps to 2.7% in September as energy subsidies end, bolstering BOJ hike case

Tokyo's core inflation rate rose to 2.7 percent year-on-year in September as government energy subsidies expired, above market expectations and reinforcing the case for additional BOJ rate increases; Reuters separately reported the reading strengthens arguments for further hikes at an upcoming policy meeting.

TECH · THE JAPAN TIMES · APOLLO GLOBAL MANAGEMENT, JERA, DELL

Apollo Global to back \$15 billion AI infrastructure project in Japan with JERA and Dell

Apollo Global Management is set to back a \$15 billion AI infrastructure project in Japan; Japan's largest power producer JERA is separately teaming with Dell on a \$15 billion data center, with capital earmarked across land, power infrastructure, construction, and computing, per Japan Times and Nikkei Asia.

FINANCE · BLOOMBERG

Three northern Japan regional banks enter merger talks to create region's top lender

Three leading regional banks in neighboring prefectures of northern Japan are set to begin three-way merger talks, per Bloomberg and Nikkei Asia, adding to a wave of consolidation among Japan's regional lenders as rising BOJ rates squeeze net interest margins on legacy portfolios.

REGIONAL PRESSURE WATCH WATCH

Normal — 14 items

CHINA

China's Foreign Ministry, via CGTN, stated Japan has 'no room for bargaining over nuclear obligations,' continuing Beijing's sustained pressure campaign against Defense Minister Koizumi's nuclear-debate remarks. Chinese state media also cited 'undeniable facts' in the case of a former SDF officer's alleged intrusion, keeping that case active as a bilateral irritant.

NORTH KOREA

North Korea fired a ballistic missile over Japan, per Eye Radio citing wire reports, triggering J-Alert warnings; the launch continues Pyongyang's pattern of missile activity correlated with regional diplomatic events and extends the pressure campaign against Japan's defense buildup documented across the past week.

RUSSIA

Japan imposed additional sanctions on Russia designating 35 'shadow fleet' vessels, per Jiji Press; Chief Cabinet Secretary Kihara said Tokyo 'takes note' of Putin's recent positive bilateral remarks but issued no reciprocal signal. The Diplomat separately reported a steady uptick in Russian naval activity near Japan's southwestern islands, framed in the context of Putin's first-ever visit to a northern territory claimed by Japan.

Senkaku / ECS: No new Senkaku-specific CCG patrol or intrusion data reported in today's articles; the persistent

surveillance pattern from prior days carries forward.

"Japan has no room for bargaining over nuclear obligations"

Chinese Foreign Ministry spokesperson (via CGTN) · China-Japan Relations: Chinese Foreign Ministry: Japan has no room for bargaining over nuclear obligations

Bottom line: A confirmed North Korea ballistic missile overflight of Japan elevates today's threat posture; watch for MOFA protest language and any MOD scramble report as the extraordinary Diet session opens Monday with defense and security policy on the agenda.

• U.S.-JAPAN RELATIONS

TRADE · THE JAPAN TIMES

Trump told Takaichi at UNGA bilateral that weak yen was hurting US trade; Bessent repeatedly urges BOJ rate hikes

During their bilateral on the UNGA sidelines, President Trump told PM **Sanae Takaichi** that the weak yen was hurting US trade, per Japan Times and Bloomberg; US Treasury Secretary **Scott Bessent** has repeatedly suggested the BOJ should raise interest rates to allow the yen to find an appropriate level. Takaichi has since pledged growth policies to support yen confidence and vowed a nimble response to market moves.

TRADE · BLOOMBERG

Japan and South Korea together plan to invest \$900 billion in the United States

Bloomberg reports Japan and South Korea jointly plan to invest *\$900 billion* in the United States, a figure that encompasses the \$550 billion US-Japan strategic investment framework alongside South Korean commitments, reflecting both governments' strategy of anchoring economic ties to the Trump administration.

• INDO-PACIFIC PARTNERS

AUSTRALIA · THE DIPLOMAT

Japan-Australia partnership deepening as both capitals hedge against US reliability concerns

The Diplomat analyzes how Tokyo and Canberra are expanding bilateral security and economic ties as each side builds resilience against uncertainty about Washington's reliability, with the partnership described as moving toward greater autonomy.

KOREA-JAPAN · YONHAP RE JAPAN

South Korean opposition whip meets Japanese envoy in Seoul

South Korea's opposition party whip met with Japan's envoy in Seoul, per Yonhap, a diplomatic contact that maintains legislative-level channels between the two countries even amid ongoing historical and policy disputes.

QUAD · MAINICHI

Ukraine asks Japan for cooperation on anti-drone technology development

Ukraine formally sought Japan's cooperation in developing drone interception technology and related areas, per Mainichi/Kyodo from Kyiv, as Russian attacks continue; the request adds a new cooperation vector to Japan's non-lethal defense support for Kyiv.

• EXPERT ANALYSIS AND EVENTS

Pyongyang's quiet foothold in Japan

North Korea maintains an active and underappreciated network of influence and financial connections inside Japan that merits sustained policy attention.

The Lowy Institute piece examines the persistent organizational presence of pro-Pyongyang networks within Japan — including Chongryon (the General Association of Korean Residents in Japan) and associated financial channels — and how these structures operate beneath the threshold of Japan's counter-proliferation and sanctions enforcement. The analysis argues that Pyongyang's quiet domestic foothold in Japan complicates Tokyo's DPRK policy and intelligence environment. The piece connects this to the broader challenge of enforcing UN and domestic sanctions while managing a large ethnic Korean community.

SO WHAT With a North Korea ballistic missile overflight confirmed today, the piece is timely context for assessing the domestic dimension of Japan's DPRK threat environment ahead of the extraordinary Diet session.

• UPCOMING

Oct
2

BOJ collateral and monetary base data released (end-September)

The BOJ published end-September collateral and monetary base data alongside the September Tankan; the data follow hawkish signals from the September meeting opinion summary.

Oct
2

TEPCO begins robotic arm insertion into Fukushima No. 2 reactor containment vessel

Tokyo Electric Power began inserting a remote-controlled robotic arm into the containment vessel of Fukushima Daiichi Unit 2 on Friday to begin fuel debris retrieval — an operation delayed four times previously.

Oct
3

US nonfarm payrolls data due — watched for Japan FX and BOJ implications

Tokyo markets are in a wait-and-see mode ahead of US jobs data, per Kyodo/Mainichi; the figures will affect USD/JPY at 157.71 and the BOJ rate-hike calculus.

Oct
5

Extraordinary Diet session opens — 69-day run begins

PM Takaichi is due to deliver her policy address opening the extraordinary session; the session is expected to cover economic policy, the five-year growth investment plan, and FX response measures.

Oct
5

Agriculture Minister Yana press conference scheduled

Kazuo Yana is scheduled to hold a press conference at 5:30 PM at the Diet building, per Jiji, amid controversy over budget-cut remarks.

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